

Profit & Loss Statement and Balance Sheet

Accounting Fundamentals • Practical Lesson

1. Profit & Loss Statement

The Profit & Loss Statement summarizes revenue and expenses for a specific accounting period. It helps determine whether a business generated a profit or a loss.

Profit = Revenue – Expenses

Common items include sales revenue, cost of goods sold, salaries, rent, utilities, depreciation, finance costs, and other operating expenses.

2. Balance Sheet

The Balance Sheet shows the financial position of a business at a specific date. It presents assets, liabilities, and owner's equity.

Assets = Liabilities + Owner's Equity

Category	Examples
Assets	Cash, bank balance, inventory, receivables, equipment
Liabilities	Loans, creditors, accrued expenses, taxes payable
Owner's Equity	Capital introduced, retained profit, drawings

3. How They Relate

The Profit & Loss Statement measures performance over a period, while the Balance Sheet shows financial position at a point in time. Profit generally increases owner's equity.

4. Simple Example

If revenue is ■100,000 and expenses are ■70,000, profit is ■30,000. If assets are ■200,000 and liabilities are ■80,000, owner's equity is ■120,000.

5. Key Takeaways

Profit & Loss focuses on income and expenses. Balance Sheet focuses on assets, liabilities, and equity. Together they provide an important view of business performance and financial position.